Measurement Map of the Enhancement Paper

25 October 2026

ID	Symbol	Name	Represents	Directly observed	Obtained how
G1	k	capital ratio	Total capital, tier 1 plus tier 2, over risk-weighted assets.	Yes	Recorded in the Call Report as `(RBCT1J+RBCT2)/RWAJT`, the FDIC fields defined in lit/fdic_2026.
G2	$\underline{k}$	floor	The capital ratio at which the bank is closed in the model.	No	Assumed by A5 from the regulatory lines the sources find binding.
G3	R	reference ratio	10.5%, the ratio the facts are measured from.	No	Assumed, fixed in comparison/PREREG_comparison.md.
G4	x	buffer	The capital ratio less the floor.	No	Computed as $k - \underline{k}$.
G5	μ_i	mean earnings	The mean of the bank's yearly earnings over risk-weighted assets, net of the riskless return on capital.	No	Computed over ten years of December reports, as replication/peura_keppo_2006.
G6	σ_i	earnings volatility	The standard deviation of the same yearly earnings.	No	Computed over the same ten years.
G7	s_i	judged risk	The volatility the buffer moves with in the model.	No	Assumed by A6, one of σ_i, $\sigma_{D,i}$ or the measures of E3.
G8	ρ	discount rate	The bank's cost of equity.	No	Assumed at 4% (A4).
G9	u_0	dividend barrier	The buffer at which dividends are paid.	No	Computed by M2 from μ_i, s_i and ρ.
G10	F1	thin-buffer dividend share	The share of quarters with dividends paid from a buffer over R below σ_i.	No	Computed from the Call Report by comparison/facts.py and window.py.
G11	F2	far-above share	The share of bank-quarters more than $4\sigma_i$ above R.	No	Computed by the same scripts.
G12	$\sigma_{D,i}$	book-capital volatility	The standard deviation of yearly changes in the capital ratio.	No	Computed over ten years of December reports, comparison/book_vol.py.
G13	$\sigma_{B,i}$	market judged risk	Equity volatility times the mean capital ratio.	No	Computed from pinned daily prices, comparison/judged_risk.py.
G14	$\sigma_{A,i}$	stress-test judged risk	The stress-test decline converted by M4.	No	Computed from the Federal Reserve's published declines, lit/dfast_2013 and lit/dfast_2014.
G15	$\sigma_{C,i}$	own-loss judged risk	The bank's worst nine-quarter decline converted by M4.	No	Computed from the Call Report, comparison/own_loss.py.
G16	$\sigma_{N,i}$	do-nothing volatility	The standard deviation of the change in Berger et al.'s do-nothing ratio.	No	Computed from the Call Report, comparison/do_nothing.py.
G17	size	bank size	The log of the bank's mean total assets.	No	Computed from the Call Report field `ASSET`.